

MR.

BALFOUR

VS

MRS.

BALFOUR

CASE STUDY PRESENTED BY:

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BALFOUR V. BALFOUR

1. INTRODUCTION:

Balfour v. Balfour is one of the most famous cases in contract law. It was decided in 1919 by the Court of Appeal in England. This case explains an important rule about agreements between family members.

In daily life, family members often make promises to each other. For example, a husband may promise to give money to his wife every month, or parents may promise to buy something for their children. These promises are usually made because of love and trust, not because they want to create a legal contract.

The main question in this case was whether a promise made by a husband to his wife was legally enforceable. The court decided that not every promise becomes a contract. Only agreements that are intended to create legal relations can be enforced by law.

This case is still studied in law schools because it helps people understand one of the basic principles of contract law.

2. FACT OF THE CASE:

Mr. Balfour and Mrs. Balfour were husband and wife. They lived in Ceylon (now Sri Lanka), where Mr. Balfour worked for the government.

In 1915, they came to England on leave. Before returning to Ceylon, Mrs. Balfour became ill. Because of her health, the doctors advised her not to travel back with her husband.

Mr. Balfour returned to Ceylon alone. Before leaving, he promised his wife that he would send her £30 every month until she was able to join him.

Mrs. Balfour stayed in England and received the monthly payments for some time. Later, the relationship between the husband and wife became worse. They separated, and Mr. Balfour stopped sending the money.

Mrs. Balfour filed a case in court. She argued that her husband's promise was a contract and that he should continue paying her every month.

The court had to decide whether this promise was legally binding.

3. LEGAL ISSUE:

The main legal issue before the court was:

Was the husband's promise to pay his wife £30 every month a legally enforceable contract?

The court also considered:

Did both parties intend to create a legal relationship?

Was the agreement only a domestic arrangement?

Can family promises always be treated as contracts?

These questions were important because contract law requires more than just a promise.

4. JUDGMENT:

The Court of Appeal decided in favour of Mr. Balfour.

The judges held that the agreement between the husband and wife was not a legal contract.

They said that agreements made between husband and wife while living together are generally domestic arrangements. Such agreements are based on mutual trust, love, and family relationships rather than legal obligations.

The court found that when Mr. Balfour promised to send money, neither he nor his wife intended to make a legally enforceable agreement.

Since there was no intention to create legal relations, there was no valid contract.

Therefore, Mrs. Balfour could not legally force her husband to continue making the payments.

The appeal was allowed, and Mr. Balfour won the case.

5. LEGAL PRINCIPLE:

The most important legal principle established by this case is:

Intention to Create Legal Relations:

For a valid contract to exist, both parties must intend that their agreement will have legal consequences.

The court explained that:

- Business and commercial agreements are generally intended to be legally binding.
- Domestic and family agreements are generally not intended to be legal contracts unless there is clear evidence showing otherwise.

This case became an important rule in contract law.

Important Points:

- A promise alone is not enough.
- There must be an intention to create legal relations.
- Family arrangements are usually based on trust and affection.
- Courts normally do not interfere in ordinary family promises.

This principle is now followed in many countries, including India.

6. BUSINESS RELEVANCE:

Although *Balfour v. Balfour* is a family law case, it is very important for business law.

In business, companies and individuals enter into contracts every day. Business agreements are usually made with the intention of creating legal obligations.

This case teaches businesses that:

- Every contract must clearly show legal intention.
- Written agreements help avoid misunderstandings.
- Business contracts should clearly mention the rights and duties of both parties.
- Companies should ensure that important promises are properly documented.

For example:

If a company promises to supply goods to another company and both parties sign an agreement, the law will enforce it because they intended to create legal relations.

But if two family members casually promise financial help at home, the law may not treat it as a contract.

This case helps businesses understand the difference between personal promises and legal contracts.

7. CONCLUSION:

Balfour v. Balfour is one of the landmark cases in contract law. It clearly explains that not every agreement becomes a legal contract.

The court held that agreements between family members are generally domestic arrangements and are not legally enforceable unless both parties intended to create legal relations.

This case introduced the important principle of intention to create legal relations, which remains one of the essential elements of a valid contract.

Even today, courts and law students continue to study this case because it helps distinguish between social promises and legally binding agreements.

The decision protects family relationships from unnecessary legal disputes while ensuring that genuine business contracts remain enforceable.